

As seen here, the only exchange rate that has any bearing on the final settlement of the position is that of the closing day, or rather when you bring the resulting profit or loss back to your own base currency, but don't let that lead you to believe that exchange-rate fluctuations have no bearing on your futures profits and losses. You certainly have to have an exposure to currencies with futures, just not on the notional amount as you do with cash instruments. Your exposure is instead on the profit and loss (P&L), and so only your current profits or losses are subject to currency risk. You therefore have a very dynamic currency exposure and the extent of it varies day by day and even hour by hour as your positions move. This is a much smaller factor than what you have to deal with in cash-instrument strategies, but a much more difficult one to hedge. You may also need to keep some cash in various currencies with your broker just to make sure you don't get charged fees unnecessarily for overdrawing accounts when you make losses.

The important point is to understand that you always have a currency risk on your futures P&L and it requires additional care to manage.

■ Futures Data

Dealing with Limited Life Span

When trading commences for a new contract there is usually quite a long time left to the expiry date and very little trading activity to be seen. Few people are interested in trading wheat with a delivery several years from now and as such the contract will remain relatively illiquid until it gets closer to expiry. At any given time, there will be one contract in each market, corn, orange juice, gold and so on, which is the most liquid and the contract that almost everyone is trading at the moment. This can sometimes be the contract that is closest to the expiry date, but this is far from certain and there are no firm rules for when the liquidity switches to another contract or even which contract it switches to. For some markets this is very predictable and very straightforward, such as for equity index futures and currency futures, where the most liquid contract with a high degree of certainty is simply the one that has the least time left to expiry and the switch happens on the expiry date itself or just one or two days before it. In some commodity markets both the timing of the switchover and the selection of the next active contract are completely unpredictable.